Paper Code - 09

2409

Time : 3 Hours

Maximum Marks: 100

Note: Question 1 and 6 are compulsory. Attempt any 3 each from Part-A and Part-B. In case of any doubt, the English version shall be taken as authentic. Wherever Assessment year is not given, it may be taken as A.Y. 2022-23. In case of any other doubt, make suitable assumptions and highlight the same in your answer.

PART - A

Question 1

M/s Adarsh Builders and Constructions Ltd., a company resident in India is engaged in the business of construction and real estate. Net profit as per profit and loss account is ₹ 54,80,000 (Prepared in accordance with ICDS) after debiting / crediting the following items:

(i) Depreciation debited to book ₹ 8,47,000.

(ii) Gross revenue included ₹ 5,00,000 in respect of a service contract for maintenance of the office building for M/s Nitesh Ltd for the period from 1st March 2022 to 30th April 2022. The expenses incurred on the project till 31-3-2022 amounts to ₹ 1,27,000 which is included in the other expenses.

(iii) The amount of employee benefits includes a sum of ₹ 4,41,000 in respect of bonus payable to employees. In the previous year 2019-20, the company and its employee's union had a dispute over payment of bonus. In order to avoid late payment of bonus, the company formed a trust and transferred the amount of bonus payable to employees to the said trust. The dispute was settled in the month of November, 2022 and the trust paid the amount of bonus to the employees on 30th December, 2022.

(iv) Capital gain on sale of shares in M/s Lara Ltd. ₹ 3,77,500.

(v) In respect of one of its on-going projects, the assessee had made some structural changes contrary to what was earlier approved by the municipal authorities. Assessee hence paid a sum of ₹ 98,000 as regularization fee in respect of such changes made in the construction plan.

(vi) Other expenses include ₹ 1,45,000 as expenditure incurred on CSR.

(vii) During the previous year 2022-23. The assessee company decided to expand its business and open a retail petrol outlet. Accordingly, a sum of ₹ 1,75,000 was deposited with the concerned authority. However, the assessee could not start this operation and the deposit with the authority was forfeited.

(viii) Amount paid for advertisement in political parties brochure ₹ 48,000.

(ix) During the previous year 2022-23, the assessee entered into an argument with M/s Bat Ltd. As per the agreement, M/s Bat Ltd. has agreed to not to engage in the business of real estate trading. The assessee paid ₹ 11 Lakhs without deduction of tax at source on 1-6-2022 as non-compete fee.

Additional Information:

(i) Depreciation as per Income-Tax, act, ₹ 5,14,000. This includes an amount of ₹ 78,000 in respect of firefighting equipment installed in various business premises/ offices of the assessee. During the year, as there was no incidence of fire, this equipment were not used.

(ii) On 26th October,2022 out of 5 unsold office spaces in a mall, the assessee converted one such space into its own office. The fair market value of that space as on that date was ₹ 15,00,000. The cost incurred originally to construct such space was ₹ 10,00,000.

(iii) In respect of ongoing construction contracts, there was a claim for escalation of prices, to the tune of ₹ 8,50,000. The company has filed a lawsuit in the year 2018. In the previous year 2022-23, the court gave its judgement in favour of the company. The company has received ₹ 2,00,000 till 31-03-2022. Gross receipt in the profit and loss account includes ₹ 2,00,000 in respect of such claims.

You are required to compute profit & gains from business & profession and the total income chargeable to tax in the hands of M/s Adarsh Builders and Construction Ltd., for the Assessment Year 2023-24 giving a brief explanation to each item of additions or deletions. Ignore provisions of MAT.

(20 Marks)

Question 2

(A) Mr. Bhavesh Joshi has the following Assets which are eligible for Depreciation at 15% on Written Down value (WDV) basis:

Date	Particulars	Amount
01.04.2019	WDV of Plant 'X' and Plant 'Y'	₹ 2,00,000
10.12.2022	Acquired a New Plant 'Z'	₹ 2,00,000
02.01.2023	Sold Plant 'Y' for	₹ 4,00,000

Expenditure incurred in cohnection with transfer is ₹ 10,000. *You are required to compute capital gain for the* ***Assessment Year 2023-2024.***

(5 Marks)

(B) Sri Sangappa, retired from service on 31.07.2022 after rendering service of 25 years and 7 months. He received Gratuity of ₹ 7,00,000. His Salary at the time of retirement was as under: Basic- ₹ 16,000 p.m. DA (Eligible for Retirement Benefits)- ₹ 8,000 p.m.

You are required to compute the Taxable Portion of Gratuity in the following cases:

a) Sri Sangappa is a Government Employee
b) Sri Sangappa is not a Government Employee and also not covered under the Payment of Gratuity Act, 1972.

(5 Marks)

Question 3

(A) Mr. Akash Tripathi owns a House Property whose Municipal Value, Fair Rent and Standard Rent are ₹ 96,000, ₹ 1,26,000 and ₹ 1,08,000 (per annum) respectively. During the Previous Year 2022-2023, one-third of the portion of the house was let out for residential purpose at a monthly rent of ₹ 5,000. Remaining two-third portion was self – occupied by him. Municipal Tax @ 11% of Municipal Value was paid during the year.

The Construction of the house began in June 2013 and was completed on 31.05.2017. Sri Tripathi took a loan of ₹ 1,00,000 on 01.07.2013 for the Construction of Building. He paid Interest on Loan @ 12% p.a. and every month such interest was paid.

Compute Income from House Property of Mr. Tripathi for the Assessment Year 2023-2024.

(5 Marks)

(B) Smt. Pramila, a resident Woman Individual sold a House Property on 16.01.2023. On the said transaction she earned Long Term Capital Gain of ₹ 1,01,50,000. She invested a sum of ₹ 50,00,000 in Capital Bonds specified in the relevant Section on 05.03.2023. She further invested a sum of ₹ 50,00,000 in the same bonds on 05.08.2023. Her other income for the Financial Year 2022-2023 was ₹ 46,000.

Compute the tax payable by her for the Assessment Year 2023-2024.

(5 Marks)

Question 4

(A) Discuss with brief reasons whether the following incomes can be regarded as Agricultural income, as per the provisions of Income Tax Act, 1961.

(i) Income received from sale of saplings in a nursery adjacent to the agricultural land owned by an assessee.

(ii) Rent received for letting out agricultural land for shooting of a television serial.

(5 Marks)

(B) State in brief the applicability of Tax deduction at source (TDS) provisions, in the following cases for the financial year 2020-21 under the Income-Tax Act, 1961. All payments are made to residents:

(i) Sneha, an Indian resident and salaried individual, makes payments of Rs. 15 lakh in January, 2021, Rs. 30 lakh in February, 2021 and Rs. 15 lakh in March, 2021 to Sohan, a contractor for reconstruction of her residential house.

(ii) M/s Patel Ltd. makes the payment of Rs. 2,50,000 to Mr. Syed, an individual transporter who owned 6 goods carriages throughout the previous year. He does not furnish his PAN.

(5 Marks)

Question 5

Compute total income of Mr. Shyam for the A.Y.2021-22 from the following information furnished by him for the Financial year 2020-21.

Particulars	Rs.
Salary income (computed)	4,70,000
Loss from self-occupied house property	2,00,000
Loss from let out house property	60,000
Loss from speculation business-X	80,000
Profit from speculation business-Y	40,000
Income from trading and manufacturing business @ 8%	3,50,000
Interest on PPF deposit	95,000

Long term capital gain on sale of Vacant site (Computed)	2,10,000
Short term capital loss on sale of Jewellery	1,50,000
Brought forward loss of business of assessment year 2015-16	5,50,000
Donation to a charitable trust recognized under section 12AA and approved under section 80G paid by cheque	1,10,000
Enhanced compensation received from government for compulsory acquisition of land (held for a period of 5 years) in the year 2006	3,00,000

(10 Marks)

PART - B

Question 6

Mr. Joseph Mathew, aged 42 years, a resident Indian has provided you the following information for the previous year ended 31.03.2021

(i) He owns an Industrial undertaking established in a SEZ and which had commenced operation during the financial year 2018-19. Total turnover of the undertaking was Rs. 2 crores, which includes Rs. 1.4 crores from export turnover. This industrial undertaking fulfills all the conditions of section 10AA of the Income-Tax Act, 1961. Profit from this industry is Rs. 25 lakhs.

(ii) He also sold his vacant land on 10.11.2020 for Rs. 13 lakhs. The stamp duty value of land at the time of transfer was Rs. 17 lakhs. The Fair Market Value (FMV) of the land as on 1st April, 2001 was Rs.5 lakhs. This land was acquired by him on 05.08.1995 for Rs. 1.75 lakhs. He had incurred registration expenses of Rs. 20,000 at that time. The cost of inflation index for the year 2020-21 and 2001-02 are 301 and 100 respectively.

(iii) Received Rs. 40,000 as Interest on saving bank deposits.

(iv) He occupies ground floor of his residential building and has let out first floor for residential use at an annual rent of Rs. 2,28,000. He has paid municipal taxes of Rs. 60,000 for the current financial year for the entire house. Both floors are of equal size.

(v) He paid insurance premium of Rs. 39,000 on life Insurance policy of son, who is not dependent on him and Rs. 48,000 on life Insurance policy of his dependent father.

(vi) He paid tuition fees of Rs. 42,000 for his three children to a school. The fees being Rs. 14,000 p.a. per child.

You are required to compute the total income of Mr. Joseph Mathew under normal provisions for the A.Y. 2021-22. AMT (Alternative Minimum Tax) provisions can be ignored.

(20 Marks)

Question 7

Mr. Mohan Lal, a resident aged 38 years is a State Government employee at Bengaluru. He has the following receipts from his employer:

(a)	Basic pay	Rs. 60,000 p.m
(b)	DA (forms part for retirement benefits)	Rs. 6,000 p.m
(c)	Entertainment allowances	Rs. 500 p.m
(d)	House rent allowance	Rs. 15,000 p.m
(e)	Motor car for official and also for personal use (cubic capacity of engine does not exceed 1.6 litres and expenses are met by the employer)	

He also provides the following information:

(i) He had paid a rent of Rs. 16,000 p.m for his accommodation at Bengaluru.
(ii) He contributes Rs. 5,000 towards recognized provident fund on 15.03.2021.
(iii) Due to COVID-19, work at home facility was allowed by Karnataka Govt. w.e.f 1.10.2020. He went back to Cochin and vacated the house at Bangalore and also motor car.
(iv) Professional tax paid– Rs. 2,000 (50% was paid by employer)
(v) He has no other income.

Compute the Income chargeable to Mr. Mohan Lal under the head "Income from Salary" for A.Y. 2021-2022.

(10 Marks)

Question 8

Sri Bhanwari Lal hands over to you his books of accounts for the year ended 31st March, 2015 and also the following gross trial balance as on that date:

Sr. No.	Account Head	L.F.	Dr.	Cr.
1	Customers		15,80,000	12,40,000
2	Suppliers		8,75,000	10,90,000
3	Fixed Assets		2,55,000	42,000
4	Stock on 31/03/2015		1,00,000	-
5	Cash		2,45,000	2,43,000
6	Bank of India		8,90,000	9,50,000
7	Bank of Baroda		5,80,000	5,75,000
8	Purchases		9,00,000	25,000
9	Sales		30,000	13,00,000
10	Purchases Return		-	40,000
11	Sales Return		50,000	-
12	Expenses		60,000	-
13	Interest		50,000	-
14	Lenders		2,00,000	5,00,000
15	Advances to suppliers		2,65,000	55,000
16	Advances from customers		1,20,000	1,30,000
17	Capital		3,00,000	3,10,000
			65,00,000	65,00,000

Sri Bhanwari Lal wants you to prepare his Trial balance.

(10 Marks)

Question 9

Prepare Trading, Profit and Loss Account and Balance Sheet from the following Trial Balance of Mr. Kartar Singh as on 31-3-2018

Debit Balance	(Rs.)	Credit Balance	(Rs.)
Sundry debtors	92,000	Sales	2,50,000
Plant and machinery	20,000	Kartar Singh's Capital	70,000
Interest	430	Purchase return sales	2,600
Rent, Rates, Taxes & Insurance	5,600	Sundry creditors	60,000
Conveyance charges	1,320	Bank overdraft	20,000
Wages	7,000		
Sales return	5,400		
Purchases	1,50,000		
Opening Stock	60,000		
Kartar Singhs' drawing	22,000		

Trade expenses	1,350		
Salaries	11,200		
Advertising	840		
Discount	600		
Bad debts	800		
Business premises	12,000		
Furniture and fixtures	10,000		
Cash in hand	4520		

Adjustments

i. Stock on hand 31-03-18 ₹ 90,000.
ii. Provide depreciation on premises at 2.5%, plant and machinery at 7.5% and furniture and fixtures at 10%.
iii. Write-off ₹ 800 as further bad debts.
iv. Provide for doubtful debts at 5% on sundry debtors.
v. Outstanding rent was ₹ 500 and outstanding wages were ₹ 400.
vi. Prepaid insurance ₹ 300 and Prepaid salaries ₹ 700.

(10 Marks)

Question 10

(A) Recently, in March 2023, the Income Tax Department launched a mobile app 'AIS for Taxpayers'. What is this app about and how will it be useful to the taxpayers?

(2 Marks)

(B) Recently, the last date for linking PAN-AADHAR was extended upto 30th June, 2023. What is the use of linking PAN with AADHAR? Give any 2 consequences if PAN is not linked to AADHAR.

(3 Marks)

(C) An Assessing Officer passed an Assessment order u/s 143(3) making additions of Rs. 60,00,000 as unexplained cash credits u/s 68. The assesee filed an appeal before the CIT(A). The CIT(A) deleted the addition stating that the identity of the creditors, the genuineness of transactions and the creditworthiness of the creditors was established and therefore the A.O had erred in making the addition. Assuming you are posted as the AO in the same charge now, you are required to draft a Scrutiny Report against the order of the CIT(A). Make suitable assumptions, if required, and mention them.

(5 Marks)

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